

ANUK PUBLIC SECTOR ACCOUNTING & FINANCE JOURNAL

Contact Address:

ANAN UNIVERSITY BUSINESS SCHOOL,
14 Road, Off 1st Avenue,
Gwarimpa, Abuja

September, 2025

Copyright © College of Private Sector ANAN University, Kwall, Plateau State

Published September 2025

Web Address: [hyyps://www.anukpsaj.com](http://www.anukpsaj.com) Email: anukpsafj@gmail.com

All rights reserved. No part of this publication may be reproduced, stored in a retrieval system or transmitted in any form or by any means, electronic, mechanical, photocopying, recording or otherwise without the prior written permission of the copyright holder

Printed by:
EDUCODEX LTD
5 Otukpo Street, Area 11 Garki, Abuja.
08055006444, 08148134773
Email: educodex1@gmail.com
Website: www.educodex.com

EDITORIAL

It is with great pleasure and a deep sense of academic fulfillment that we present the maiden edition of the Public Sector Accounting and Finance Journal (PSAFJ), published by ANAN University, Kwall. This inaugural issue marks a significant milestone in the University's commitment to advancing scholarship, policy, and practice in the field of public sector accounting, finance, and governance.

In an era when nations are striving for transparency, accountability, and fiscal sustainability, the role of public sector accounting and finance has never been more critical. The journal is therefore conceived as a platform for intellectual engagement, rigorous research, and policy discourse that contribute meaningfully to the strengthening of public financial management systems, good governance, and sustainable development in Nigeria and beyond.

This maiden edition features ten scholarly articles drawn from a wide spectrum of research interests and methodologies within the field. The papers collectively address critical issues ranging from public sector financial reporting and accountability, budgeting reforms, internal control mechanisms, audit quality, fiscal transparency, to the application of emerging technologies in public finance management. Each contribution reflects the authors' depth of research and commitment to the continuous improvement of public sector governance and accountability.

COLLEGE OF PUBLIC SECTOR ACCOUNTING
ANUK Public Sector Accounting and Finance Journal (APSAFJ)

THE OBJECTIVE OF THE JOURNAL

To provide a platform for researchers and academics to publish research papers and articles within the research domains of public sector accounting, public finance, public economics, environmental, oil and gas accounting, public financial management, taxation and fiscal policy, public policy and finance, macroeconomics and development, public treasury management, and other related areas..

EDITORIAL TEAM

EDITOR-IN-CHIEF

Professor Musa I. Fodio

Professor of Accounting and Finance, and Vice-Chancellor, ANAN University, Kwall, Plateau State, Nigeria

ASSOCIATE EDITORS

Professor Tamunonimim Ngerebo-a

*Dean, College of Public Sector Accounting,
ANAN University, Kwall, Plateau State, Nigeria*

Professor Stephen I. Ocheni

University of Calabar, Nigeria

Associate Professor Mohammad Ali Aghaei

*Associate Professor of Accounting
(With interest in Public Sector Accounting),
Tarbiat Modares University, Tehran,
Iran.
aghaeim@modares.ac.ir*

Dr. Dagwom Y. Dang

*Public Sector Accounting Department,
ANAN University, Kwall, Plateau State,
Nigeria*

Dr. John Obasi

*Environmental, Oil and Gas Accounting
Department,
ANAN University, Kwall, Plateau State,
Nigeria.*

Dr. Anderson E. Oriakpono

*Taxation and Fiscal Policy Department,
ANAN University, Kwall, Plateau State,
Nigeria.*

Dr. Joshua S. Riti

*Department of Economics
(With interest in Public Sector
Economics and Environmental Economics),
University of Jos,
Nigeria.*

Dr. Yang Shu

*School of Economics & Management, China
University of Geosciences (CUG),
No. 388 Lumo Road, Wuhan, 430074,
China.
shuyang.cug@foxmail.com*

Dr. Effiezal Abdul Wahab

*School of Accounting, Economics and Finance,
Curtin University,
Australia.*

Prof. Tochukwu Okafor

*Department of Accounting,
University of Nigeria, Nsukka,
Nigeria.*

Prof. Salisu Abubakar

*Department of Accounting,
ABU Zaria, Kaduna State,
Nigeria*

Prof. Hassan Ibrahim

*Department of Accounting,
IBB University, Lapai, Niger State,
Nigeria*

Prof. Lawyer Chukwuma Obaia

*Department of Accounting, Rivers State
University, Port Harcourt,
Nigeria*

Prof. Bausua Fortune Nwinee

*Department of Finance & Banking,
University of Port Harcourt, Rivers State,
Nigeria.*

Dr. Simon Akpadaka

*Department of Accounting,
ANAN University, Kwall, Plateau State,
Nigeria.*

Dr. Linus Igboyi

*Nigerian College of Accountancy
Kwall, Plateau State,
Nigeria.*

Dr. Friday Akpan

*Nigerian College of Accountancy
Kwall, Plateau State,
Nigeria.*

Dr. Suka Adamgbo

*Department of Finance
Rivers State University, Port Harcourt,
Nigeria*

Prof. M.A. Mainoma
*Department of Accountancy,
Nasarawa State University,
Nasarawa State,
Nigeria*

Prof. K.B. Kiatel
*Department of Accountancy,
Rivers State University,
Port Harcourt, Nigeria.*

Prof. Musa Adeiza Farouk
*Dean, College of Accountancy Kwall,
Plateau State,
Nigeria.*

Prof. Chinedu Innocent Ekene
*Department of Public Sector Accounting
ANAN University Kwall, Plateau State,
Nigeria.*

Prof. Sunday Mlaga
*Director, Academic Planning
ANAN University Kwall, Plateau State,
Nigeria.*

Prof. Joseph Femi Adebisi
*Deputy Vice Chancellor
ANAN University Kwall, Plateau State,
Nigeria*

Dr. Saidu Halidu
*Department of Financial Reporting
ANAN University Kwall, Plateau State,
Nigeria*

Dr. Abdullahi Ya'u
*ANAN Business School,
Gwarinpa, Abuja,
Nigeria*

INTERNATIONAL EDITORIAL ADVISORY BOARD

Professor Rowan Jones
*Emeritus Professor of Public Sector Accounting,
University of Birmingham,
United Kingdom
rowanhjones@outlook.com*

Professor Ana Yetano
*Professor of Public Sector Accounting,
University of Zaragoza,
Spain.
ayetano@unizar.es*

Professor Suleiman A.S. Aruwa
*Professor of Accounting and Finance
(With interest in Public Financial Management),
Nassarawa State University, Keffi,
Nigeria*

Assistant Professor Dina D. Pomeranz
*Assistant Professor of Applied Economics
(With interest in Public Economics),
University of Zurich,
Switzerland
dina.pomeranz@econ.uzh.ch*

Professor Juraj Nemec
*Professor of Public Finance and Management,
Masaryk University Brno,
Czech Republic
juraj.nemec@umb.sk*

Professor Mohammad Kabir Hassan
*Professor of Finance
University of New Orleans,
United States
mhassan@uno.edu*

MANAGING EDITOR

Dr. Dagwom Y. Dang
*Public Sector Accounting Department,
ANAN University, Kwall, Plateau State,
Nigeria*

ETHICS AND POLICIES

1. Publication Ethics

At the ANUK Public Sector Accounting and Finance Journal (APSAFJ), we uphold the highest standards of publication ethics to ensure the integrity and quality of our scholarly outputs. We are committed to ethical publishing practices, guided by the principles of the **Committee on Publication Ethics (COPE)**. All authors, reviewers, and editors are expected to adhere to the following ethical standards:

- **Plagiarism:** All submitted manuscripts undergo plagiarism detection using [Plagiarism Detection Tool, e.g., Turnitin]. Manuscripts found to contain significant plagiarism, including self-plagiarism, will be rejected. Authors are encouraged to properly cite and attribute all sources.
- **Authorship:** Only individuals who have significantly contributed to the research and manuscript preparation should be listed as authors. Ghostwriting, guest authorship, and other forms of unethical authorship are strictly prohibited.
- **Research Misconduct:** Fabrication, falsification, or misrepresentation of data are unacceptable. Any suspected cases of research misconduct will be investigated and may lead to retraction of the published work.

2. Conflict of Interest Disclosures

To maintain transparency and objectivity, all authors, reviewers, and editors must disclose any potential conflicts of interest that could influence the outcome or interpretation of their work. Conflicts of interest may include, but are not limited to:

- Financial relationships (e.g., funding, employment, stock ownership).
- Personal relationships or competing interests that could affect the impartiality of the research.

Authors must include a **Conflict of Interest Statement** in their manuscript, even if no conflicts exist (e.g., "The authors declare no conflicts of interest"). Reviewers and editors must recuse themselves from handling manuscripts where conflicts of interest exist.

3. Data Availability and Sharing Policies

To promote transparency and reproducibility in research, ANUK Public Sector Accounting and Finance Journal (APSAFJ) encourages authors to share their data wherever possible. Our data sharing policy is as follows:

- **Data Availability Statement:** Authors must include a statement in their manuscript specifying whether and how the data supporting their findings are available. Examples include:
 - "The data supporting this study are available in [repository name, DOI or link]."
 - "The data used in this study are available upon reasonable request from the corresponding author."
- **Preferred Repositories:** Authors are encouraged to deposit their data in trusted repositories that provide DOIs or persistent identifiers (e.g., Dryad, Figshare).
- **Ethical Considerations:** Data involving human participants must comply with ethical guidelines and institutional requirements, including anonymization where necessary.
- **Open Data:** Where possible, authors should consider licensing their data under open terms (e.g., Creative Commons licenses) to facilitate reuse.

EDITORIAL POLICIES

1. Peer Review Process

At the ANUK Public Sector Accounting and Finance Journal (APSAFJ), we employ a rigorous peer review process to ensure the highest standards of scholarly integrity and quality in published research. Our peer review system is described below:

- **Type of Review:** We use a **double-blind peer review process**, where:
 - In **double-blind review**, both the authors and reviewers remain anonymous to each other to ensure impartiality.
- **Reviewer Selection:** Reviewers are selected based on their expertise in the subject matter of the manuscript.
- **Timeline:** The peer review process typically takes 10 – 20 days, depending on the complexity of the manuscript and reviewer availability.
- **Decision Criteria:** Editorial decisions are based on originality, methodological rigor, significance to the field, and adherence to ethical standards.

2. Publication Frequency

- **Frequency of Publication:** ANUK Public Sector Accounting and Finance Journal (APSAFJ) publishes on a **quarterly** basis, with issues released in June and December.
- **Special Issues:** In addition to regular issues, the journal occasionally publishes special issues on emerging topics of interest.

3. Copyright and Licensing

- **Copyright Policy:** APSAJ retains the copyright to the article submitted to the journal, the rights to publish and distribute their articles. The authors' rights include:
 - Reuse and redistribution of the published work.
 - Use of the work in academic and educational settings.
- **Licensing:** Articles are published under a **Creative Commons Attribution License (CC BY)**, which permits unrestricted use, distribution, and reproduction in any medium, provided the original author and source are credited.
 - License Details: Link to the specific license, e.g., CC BY 4.0.

4. Archiving Policy

To ensure long-term preservation and access to published content, ANUK Public Sector Accounting and Finance Journal (APSAFJ) has implemented robust archiving strategies, including:

- **LOCKSS (Lots of Copies Keep Stuff Safe):** A decentralized preservation system that ensures content remains accessible even in the event of a system failure.
- **CLOCKSS (Controlled LOCKSS):** Content is preserved in trusted digital archives for secure, long-term storage.
- **Institutional Repositories:** Articles are deposited in [specific repositories or institutional archives], ensuring perpetual access.
- **Self-Archiving Policy:** Authors are encouraged to deposit the published version of their articles in institutional or subject-specific repositories.

Our commitment to archiving ensures that your research remains accessible and discoverable for future generations.

5. Standard Journal Content Format

The standard format for content is as follows;

1. Introduction

2. Statement of Research Problem

3. Research Hypotheses or Objectives

*Review of Related Literature

4. Data Presentation & Analysis

5. Research Findings & Discussion of Findings

6. Conclusion, Recommendation & Policy Implication

7. References

8. Appendices

Or

1. **Indroduction** (Background of the study, research gap, research hypotheses, scope of study, significance of the study).

2.0. Literature Review

2.1 Conceptual Review

2.2 Empirical Review

2.3 Theoretical Review'

3.0 Methodology

3.1 Research Design

3.2 Population sample size and sampling

techniques

3.3 Analytical Tools

3.4 Model Specification

4.0 Data Presentation & Analysis

4.1 Data Presentation

4.2 Analysis & Findings

4.3 Discussion of Findings

5.0 Conclusion

5.1 Recommendations & Policy

Implication

References

Appedices

TABLE OF CONTENTS

1. Effect Of Tax Administration Efficiency On Tax Compliance Among Small And Medium Scale Enterprises In North Central Of Nigeria	1
Abubakar Lamino Muhammad.....	
2. Effect Of Taxation On Income Distribution In Nigeria	8
Fatima Talbot And Tamunonimim A. Ngerebo-A.....	
3. Tax Policy And Fiscal Sustainability In Nigeria	31
Ibrahim Luka Tumba.....	
4. Effect Of Tetfund Intervention On Research And Development In Nigerian Tertiary Institutions	43
Ihemelandu Constance Obiageri.....	
5. Effect Of International Public Sector Accounting Standards Adoption On Financial Reporting Quality In Lagos State Ministries.	57
Aohn Achua, Ph.d & Joseph Femi Adebisi.....	
6. Moderating Effect Of Company Income Tax On The Relationship Between Capital Structure And Financial Performance Of Listed Multinational Companies In Nigeria	81
Christopher David Mbatuegwu, Benjamin Uyagu David, & Daninya Michael Zeinaba.....	
7. Effect Of Tax Gaps On Tax Inclusiveness Sustainability In Nigeria	94
Simon Nwanmaghyi Kato.....	
8. Impact Of Harmonization And Codification Of Taxes On Tax Compliance And Revenue Generation In Nigeria	105
Umenwosu Collins Obumneme.....	
9. Treasury Single Account: Implementation, Prospect And Challenges In Jigawa State Of Nigeria	113
Abdulhayatu Sarki Suleiman.....	
10. Effect Of Public Debt Exposure On Fiscal Sustainability Of Nigeria	121
Jamilu Ibrahim Mohammed.....	
11. Energy Price Volatility And Financial Market Efficiency In Nigeria	138
Dr. Anderson Emmanuel Oriakpono.....	
12. Bidirectional Effects Of Disruptive Fintech Investment On Deposit Money Banks' Subscription-Based Models In Nigeria	150
Dr. Anderson Emmanuel Oriakpono and Esther Dagwannah.....	
13. Macroeconomic Risk Implosion On Mitigation Strategies For Development Recovery In Wamz Member States	163
Prof. Tamunonimim NGEREBO-A & Dr. Anderson Emmanuel Oriakpono.....	

EFFECT OF TAX GAPS ON TAX INCLUSIVENESS FOR SUSTAINABILITY IN NIGERIA

SIMON NWANMAGHYI KATO

08033492560

simon.kato00@gmail.com

ANAN University, Kwall

Abstract

Tax gap is the difference between the total amount of taxes collected and the total amount of revenues that would be collected under full compliance. This study aimed at ascertaining the effect of tax gaps on the tax inclusiveness in Nigeria with the specific objective of examining such effect on the tax inclusiveness for sustainable development in Nigeria. A research survey through questionnaire was utilized, with primary data to ascertain the viability and reliability of the data obtained through research questions from a sample size 182 respondents who were majorly tax professionals and tax payers selected from various regions and organizations in Nigeria. The selection was done using a non-probability sampling technique, specifically convenience sampling. The findings suggest that Tax System Knowledge and Policy Change Response have a significant positive impact on Tax Compliance. Specifically, individuals with greater Tax System Knowledge tend to exhibit higher levels of tax compliance, as do those who respond positively to policy changes. Based on the analysis, it can be concluded that enhancing Tax System Knowledge among taxpayers and effectively implementing policy changes are crucial strategies for promoting tax inclusiveness and sustainability in Nigeria.

Keywords: Tax Gap, Tax Inclusiveness, Sustainable Development, Tax System, Tax Compliance

1.0 INTRODUCTION

The achievement of sustainable development requires policymakers and governments to prioritize the attainment of societal prosperity. This entails directing the attention of taxation, which is the primary revenue source for most countries, towards the provision of public goods and infrastructure that align with the present and future aspirations of society. Onuoha and Akintoye (2018) commends that a robust tax system is fundamental to achieving sustainable development across all nations. Therefore, taxation is widely recognized as a significant means of generating revenue for governments worldwide.

Taxation is a subject that evolves alongside changes in the economic landscape, and it is important to assess its significance in Nigeria's economic progress. As stated by Appah (2014), the development of a country relies on generating sufficient revenue to provide essential infrastructure for the benefit of the entire population, with taxation being a major source of such revenue.

Taxation is implemented with the purpose of generating the necessary funds to support government's predetermined public spending plans, as well as to promote fairness and equality by redistributing income among citizens. This main source of revenue is typically planned on

an annual basis, but the targets are often not fully achieved, resulting in what is known as tax gaps. These gaps can be viewed from two perspectives: first, as the variance between the projected taxes or expected tax liability and the actual tax receipts received by the relevant tax authorities; and second, as the difference between the actual tax liability and the actual amount of tax remitted to the tax authorities (Kurotamunobaraomi and Gbomor, 2020).

Tax inclusiveness is a significant issue, as a large portion of the population, particularly those in the informal sector, are excluded from the formal tax system. This leads to a narrow tax base, reduced revenue generation, and unfair distribution of the tax burden. This imposition is associate with tax gap. Inclusive tax systems contribute to reducing income inequality, enhancing social justice, and fostering sustainable economic growth (OECD, 2018).

Tax inclusiveness in Nigeria is a significant concern, characterized by the exclusion of a substantial portion of the population, particularly those engaged in the informal sector, from the formal tax net (Alao, Adegbe, & Tomomewo, 2023). This exclusion results in a limited tax base, reduced revenue generation, and inequitable distribution of the tax burden. The tax system in Nigeria includes exemptions and incentives for specific industries and sectors, aiming to promote investment and economic

growth. The issue of tax gap in Nigeria is a result of high levels of poverty and income inequality, with over 40% of the population living below the poverty line. People living in poverty often rely on the informal sector and have limited taxable incomes, further excluding them from the tax net. Lack of awareness and understanding of tax obligations, particularly in rural areas, contributes to low tax compliance. Insufficient tax education programs and skepticism about the government's ability to use tax revenues effectively also hinder compliance (Aina, 2021).

The tax gap has received significant attention from scholars worldwide, both in developed and developing countries. While many studies focus on estimating or valuing the tax gap, few have explored the factors that contribute to it. Only one empirical study has examined other dimensions of the tax gap. This research is crucial for understanding the extent and impact of the gap on tax inclusiveness for sustainable development. Despite being underway for over two decades, the investigation of the tax gap is still in its initial phase, primarily focused on estimation and valuation.

Therefore, this study aims to draw on existing literature, empirical data, and case studies from different countries to analyze the dynamics of the tax gap and tax inclusiveness. By examining the challenges and opportunities associated with these concepts, the research will contribute to the existing knowledge and inform policymakers about the importance of addressing the tax gap to achieve sustainable tax systems that promote economic development and social equity.

The basic objective is to examine the effect of Tax gap on tax inclusiveness in Nigeria. The research intend to answer the question which says; to what extent does tax gap affect tax inclusiveness for sustainable development in Nigeria? The research hypothesis H01 states that: there is no significant effect of tax gaps on tax inclusiveness for sustainable development in Nigeria

2.0 LITERATURE REVIEW

2.1 Conceptual Review

2.1.1 Tax Gap

The tax gap represents the difference between the amount of tax owed and the actual amount collected by the government. It reflects revenue shortfalls caused by factors like non-compliance, tax evasion, errors, and ineffective tax administration (Schneider et al., 2015). In Nigeria, the tax gap poses significant challenges

due to issues with tax administration, compliance, and enforcement. This gap is exacerbated by non-compliance, especially within the informal sector. Estimates indicate that Nigeria's tax gap is approximately 40% (FIRS, 2017), resulting in substantial revenue loss that could have been used for public services, infrastructure development, and poverty alleviation. Closing the tax gap requires comprehensive strategies such as improving tax administration, enhancing tax education and awareness, promoting voluntary compliance, strengthening data collection and analysis systems, and implementing technology-driven solutions.

Addressing the tax gap is essential for improving tax inclusiveness in Nigeria. It will ensure a fair distribution of the tax burden and generate the necessary revenue for sustainable development. By implementing these measures, Nigeria can enhance its tax system, increase compliance, and achieve more equitable and efficient revenue collection processes.

2.1.2 Tax Inclusiveness

Tax inclusiveness entails the principle and implementation of tax systems that ensure a fair and balanced distribution of the tax burden across society (Braithwaite, 2017). It emphasizes the notion that every individual should contribute to public finances in proportion to their ability to pay, regardless of their socioeconomic position, occupation, or industry of engagement. Fundamentally, tax inclusiveness strives to establish a tax framework that minimizes inequalities, upholds social justice, and fosters economic stability and progress (Bird & Zolt, 2005). It acknowledges that an effective tax system should not only generate government revenue but also work towards reducing income disparities, supporting public services, and addressing societal requirements.

Tax inclusiveness encompasses several key aspects:

Wide Tax Base: An inclusive tax system aims to have a broad tax base, covering all relevant sectors of the economy, income types, and individuals. It strives to minimize exemptions, loopholes, and special treatments that disproportionately benefit specific groups and lead to an unequal distribution of the tax burden (Crawford, Keen, & Smith, 2010).

Progressive Taxation: Tax inclusiveness promotes progressive

taxation, where the tax burden increases as income or wealth levels rise. This ensures that higher-earning individuals contribute a larger proportion of their income to support public finances, while those with lower incomes are subject to comparatively lower tax rates, taking their ability to pay into account (Slemrod, 2004).

Strong Tax Compliance: Tax inclusiveness emphasizes the importance of tax compliance from all taxpayers. It involves cultivating a culture of voluntary compliance through education, outreach programs, and fair enforcement mechanisms. Enhancing tax compliance reduces the tax gap, ensures a level playing field, and prevents an unequal burden on compliant taxpayers (James, 2014).

Transparent and Accountable Tax System: An inclusive tax system should be transparent and accountable, with clear rules, regulations, and procedures. Transparency builds trust among taxpayers, enabling them to understand how their tax contributions are used and the benefits they receive in return. It also helps combat corruption and ensures effective and efficient utilization of tax revenues for public welfare (Pandey, 2003).

Consideration of Socioeconomic Factors: Tax inclusiveness acknowledges the socioeconomic context of taxpayers and aims to address specific challenges and needs. It takes into account factors like poverty levels, income inequality, and the informal sector. Efforts are made to minimize the exclusion of vulnerable groups and ensure that tax policies and measures consider their unique circumstances (Alm et al., 2018).

In summary, tax inclusiveness is a fundamental principle in establishing a fair and equitable tax system. It strives to balance revenue generation with social justice and economic development. By promoting broad participation, progressive taxation, compliance, transparency, and considering socioeconomic factors, tax inclusiveness contributes to a more equitable and sustainable society.

2.2 Theoretical Review

2.2.1 Multiple Indicators Multiple Causes Theory

This study is based on the Multiple Indicators Multiple Causes Theory postulated by Frey and Weck Hanneman in 1984. In this theory, the tax gap is calculated using both observed and indicator variables. The observed variable helps identify the factors that contribute to the shadow economy, including government expenditure levels (taxation), infrastructure, GDP per capita, government consumption, cost of security supplied, unemployment rate, and corruption index. On the other hand, the indicator variable represents the shadow economy, which leads to the tax gap. Estimating the tax gap involves measuring parameters such as the amount of cash in circulation, the GDP growth rate, and the number of informal jobs. These parameters are indicators of the hidden variable. The underlying premise of this theory is that there is a latent connection between the indicator and observed variables. The observed variables are computed using Structural Equation Modelling techniques (Nchor & Adamec, 2015). The Multiple Indicators Multiple Causes (MIMIC) theory, while primarily used in the social sciences, can also be applied to the study of tax-related phenomena. In the context of tax, the MIMIC theory can help researchers understand the underlying factors and causes that contribute to tax compliance, tax evasion, and overall tax outcomes.

2.2.2 Ability to Pay Theory

The Ability to Pay Theory states that individuals should be taxed based on their ability to pay, with those who have higher incomes paying more taxes than those with lower incomes. This theory emphasizes the concept of taxable capacity and considers tax liability as a compulsory payment to the government without any direct commercial relationship. It aims to achieve justice and equity in taxation by determining each individual's relative paying capacity. However, there are challenges in measuring taxpayers' ability to pay and assessing the equity of sacrifice, which limits the practical application of this theory. According to Ojeka (2011), the theory suggests that public expenditure should come from those who have the means, rather than from those who don't. Progressive taxation is based on this theory, aiming to distribute the burden of taxation justly and equitably according to individuals' relative ability to pay. The principle of equity and justice in taxation, as commonly accepted, is that taxpayers should contribute to the government based on their ability to pay. The main

justification for the ability to pay principle is the concept of sacrifice, as documented by Ojeka (2011). While this principle appears to promote justice, economists face challenges in precisely measuring taxpayers' ability to pay and determining the fairness of the sacrifice.

In summary, the Ability to Pay Theory advocates for taxation based on individuals' ability to pay, aiming to achieve fairness and equity. However, practical implementation is limited by the difficulty of accurately measuring taxpayers' ability to pay and assessing the equity of the sacrifice involved.

2.3 Empirical Review

Raouf (2022) conducted an extensive study using a comprehensive dataset covering 45 countries across Europe, the Middle East, and Africa. The research spanned from 2008 to 2019 and aimed to examine the association between changes in tax revenue and changes in financial inclusion. To address this inquiry, the study employed a panel threshold regression model. Furthermore, a generalized method of the moment's model was utilized to ensure the reliability of the results. The main findings of the study revealed a non-linear relationship between financial inclusion and tax revenue. Specifically, at lower levels of financial inclusion, there was an adverse effect on tax collection. However, at higher levels of financial inclusion, a positive and significant impact on tax revenue was observed.

Oz-Yalaman (2019) conducted a study to investigate the relationship between changes in tax revenue and financial inclusion across countries worldwide. The study utilized a comprehensive dataset comprising 137 countries and covered the period from 2011 to 2017. To analyze the relationship, the researcher employed the Global Findex database and panel data methodology. The empirical findings of the study revealed a significant and positive association between financial inclusion and tax revenues. This implies that countries with higher levels of financial inclusion tend to experience higher tax revenues. The study also indicated that financial inclusion is one of the key determinants of tax revenues, highlighting its importance in generating tax income for governments.

In Nigeria, Asaolu et al. (2018) utilized secondary data obtained from the Central Bank of Nigeria to explore the correlation between tax revenue and economic development in Nigeria during the period from 1994 to 2015. The findings of the study revealed a noteworthy

positive association between Customs and Excise Duty and economic development. However, a negative significant relationship was observed between Companies Income Tax and economic development. Similarly, Joseph et al. (2016) conducted research focusing on customs duties and their contribution to tax income in the Nigerian economy, as well as examining other indirect taxes. The study covered the years from 1994 to 2014, and the experimental results indicated that both Customs and Excise Duty and Value Added Tax had a substantial impact on the total tax collected in Nigeria. Adekanmbi, Shallie, and Olaniyi (2022) conducted a study to examine the impact of different tax components on achieving sustainable growth in Nigeria. The researchers utilized time series data spanning from 1987 to 2019. To analyze the relationship, they employed the ARDL bound testing approach for cointegration, which allowed them to assess both the long-run and short-run dynamics. The findings of the study indicated that Petroleum Profit Tax, Company Tax, Value Added Tax, and Personal Income Tax demonstrated a positive short-run relationship with economic growth, as measured by GDP. On the other hand, Custom and Excise Duties and Personal Income Tax exhibited a negative relationship in both the short and long run. Ohaka and Agundu (2014) conducted a study to examine the relationship between tax incentives and business performance. They used the reinvestment allowance as a proxy for the predictor variable, while profit after tax and return on equity were considered as standard dimensions of business performance. The study collected financial time series data and qualitative information from executive officials of 58 industrial organizations listed on the Nigerian Stock Exchange. The statistical analysis revealed a statistically significant relationship between tax incentives and business performance. However, the study suggests that for tax incentives to be consistently effective, business executives need to develop an appropriate framework that emphasizes strategic financial management. This framework should have a clear intent to drive aggressive industrial integration, foster productive synergistic investment, and enhance competitive profitability.

Kurotamunobaraomi and Gbomor (2020) examined the effect of tax gap on Nigeria's economic growth from 2004 to 2017. They looked at the connections between tax gaps and different economic variables such as per capita income, the human capital index, foreign direct investment, and gross domestic product using four simple linear regression models. The per capita income, human capital index, and gross

domestic product all increased as a result of tax gap, the researchers discovered a negative association between tax gaps and foreign direct investment, indicating that tax gaps discourage outside investors. According to the study's findings, closing tax loopholes is essential for luring in foreign investment and that tax objectives may underestimate the true tax potential.

While the reviewed studies contribute valuable insights on tax revenue and economic development, there are gaps in relation to the specific objective of examining tax gaps and their effect on tax inclusiveness in Nigeria. The study reviewed displayed controversial conclusion, while Kurotamunobaraomi and Gbomor (2020) agreed on positive effect among the variables, Ohaka and Agundu (2014) premised a positive effect among the tax incentives and business performance. More so, the reviewed studies tend to focus on specific tax revenue components, such as Companies Income Tax, Customs and Excise Duty, and Value Added Tax. However, tax inclusiveness encompasses a broader range of factors, including the Tax System Knowledge, Policy Change Response, and Social and Peer Influence.

3.0 METHODOLOGY

This study utilized research survey, with primary data to ascertain the viability and reliability of the data obtained through research questions. It focused on examining the extent to which tax gap would affect tax inclusiveness for sustainable development in Nigeria. The study covered the tax professionals/practitioners as well as taxpayers across Nigeria, and a sample size of 182 was selected. The sample size will be determined based on considerations of feasibility and representativeness. Specifically, questionnaires were designed and administered across the populations identified.

A non-probability sampling technique, specifically convenience sampling, will be used to select the participants, and the respondents will be selected from various regions and organizations in Nigeria.

3.1 Model Specifications

In other to verify the effect of tax gaps on tax inclusiveness sustainability in Nigeria, the study will utilized multiple regression depicting the interrelationship between the variables. The model is specified as:

$$Y = f(X) \text{-----} (1)$$

Y is Tax inclusiveness sustainability proxy as Tax compliance

X is tax gaps. The tax gaps used three indicators of Tax System Knowledge, Policy Change Response, and Social and Peer Influence.

Given the above mathematical equation, the functional relationship is itemized in corresponding with the proxies as thus:

$$Y = \beta_0 + \beta_1 X_1 + \beta_2 X_2 + \beta_3 X_3 + \mu \text{-----} (4)$$

Where X is tax gaps.

X₁ is Tax System Knowledge,

X₂ is Policy Change Response,

X₃ is Social and Peer Influence.

β₀ intercept

β₁ is the intercept tax system knowledge

β₂ is the parameter of policy change response

β₃ is the parameter of Social and peer influence

μ is the error term

3.2 Methods of Data Analysis

The data collected will be analysed using Inferential and Descriptive statistics. The research questions will use descriptive statistics of percentage. Specifically, inferential statistics of multiple regression analysis will be used to test the hypotheses and the broad objective formulated for the study at 0.05 level of significance.

4.0 RESULT AND DISCUSSION

4.1 Demographic Response

Table 1: Age grade of the respondents

	Frequency	Percent
Below 20 Years	15	8.3
20 - 30 Years	41	22.7
31 - 40 Years	55	30.4
41 - 50 Years	69	38.1
Total	182	100.0

Source: Researcher's Computation, 2023

Table 1 presents information about the age distribution of the respondents, with a total sample size of 182 individuals, age "Below 20 Years," accounts for 8.3% (15) of the total sample, age 20 - 30 Years account for 22.7% (41)

of the respondent, 31 - 40 Years old account for 30.4% (55) of the respondents while 41 - 50 account for 38.1% (69) of the total sample. This indicates that a considerable proportion of the respondents are in their forties and fifties.

Table 2: Description of the Gender

		Frequency	Percent
Valid	Male	121	66.9
	Female	60	33.1
	Total	181	100.0

Source: Researcher's Computation, 2023

The table 2 provides information on the gender distribution of the respondents, the result shows that male respondents accounts for 66.9% (121)

of the total sample while Female account for 33.1% (60) of the total sample. This indicates that a majority of the individuals in the sample are male.

Table 3: OCCUPATIONAL CATEGORY

	Frequency	Percent
Government/Non-profit	95	52.2
Private sector	38	20.9
Self-employed	29	15.9
Student	1	.5
Other	19	10.4
Total	182	100.0

Source: Researcher's Computation, 2023

Table 3 provides insights into the occupational categories of the respondents, the result shows that 52.2% (95) of the total sample are employed in government or non-profit organizations,

20.9% (38) of the sample, are employed in the private sector. 15.9% (29) of the total sample are

self-employed while 0.5% (1) of the total sample, while 10.4% (19) of the total, fall into an unspecified "Other" category. This indicates that significant of individuals working in the public sector or non-profit sector among the respondents.

Table 4: Description of respondents Monthly Income

	Frequency	Percent
Bellow 50,000	10	5.6
50,000 to 150,000	33	18.3
151,000 and above	137	76.1
Total	180	100.0

Source: Researcher's Computation, 2023

Table 4 provides information about the monthly income distribution of the respondents, it was indicated that 5.6% (10) of the total sample earned Below 50,000, have a monthly income below 50,000 naira, 18.3% (33) of the sample fall within the income range of 50,000 to

150,000 Naira per month while 76.1% (137) of the total sample, have a monthly income of 151,000 naira and above more. This category dominates the distribution, signifying that a substantial majority of the respondents enjoy higher monthly incomes.

Table 5: Highest Level of Education

	Frequency	Percent
High school or less	6	3.3
Undergraduate degree	38	21.0
Master's degree	110	60.8
Doctoral or higher	27	14.9
Total	181	100.0

Source: Researcher's Computation, 2023

Table 5 provides an overview of the highest level of education attained by the respondents. 3.3% (6) of the total sample, have an education level of high school or less. 21.0% (38) of the sample, hold an undergraduate degree, 60.8%

(110) have achieved a master's degree while 14.9% (27) of the total sample, have attained a doctoral degree or higher. In summary, the result show that the majority have achieved a master's degree.

4.2 Hypothesis Testing

Table 5: Pre-estimation test of Collinearity

Collinearity Statistics		
	Tolerance	VIF
Tax System Knowledge	.184	5.424
Policy change response	.196	5.105
Social and Peer Influence	.218	4.589

Source: Researcher's Computation, 2023

The table 5 provide Collinearity Statistics, which are commonly used in regression analysis to assess multicollinearity among independent variables. In the table, there are three independent variables. The Collinearity Statistics table suggests that there is no degree of

multicollinearity among the independent variables in the regression model since none of the variables variance inflation factor are up-to 10. Therefore, the model is desirable, stable and possess reliability of the regression results.

Table 6: Regression analysis of tax gaps on tax inclusiveness sustainability in Nigeria

Model	Unstandardized Coefficients		Standardized Coefficients	t	Sig.
	B	Std. Error	Beta		
(Constant)	-3.337	.466		-7.161	.000
Tax System Knowledge	.498	.134	.279	3.717	.000
Policy change response	1.083	.143	.552	7.568	.000
Social and Peer Influence	.226	.148	.106	1.526	.129
R-square	.814				
Adjusted R Square	.811				
Std. Error of the Estimate	1.81463				
F-statistics	260.435				
Significance (Prob.)	0.000				

Dependent Variable: Tax Compliance

Source: Researcher's Computation, 2023

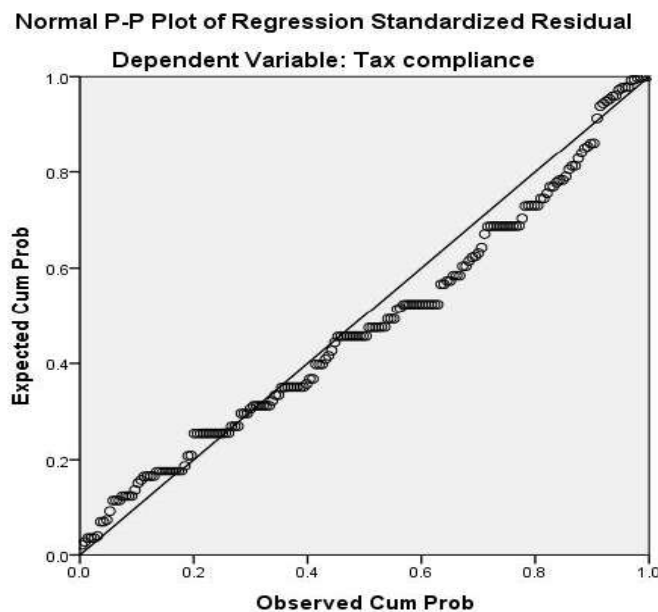
The table provided the results of a regression analysis of tax gaps on tax inclusiveness sustainability in Nigeria. The result depicts that Tax System Knowledge has a coefficient of

0.498 and t-statistics of 3.717. This suggests that for a one-unit increase in Tax System Knowledge, Tax Compliance is expected to increase by 0.498 units. The significance level of

0.000 indicates that Tax System Knowledge has a relatively significant positive effect on Tax Compliance in Nigeria. Policy Change Response has a coefficient of 1.083 and a probability value of 0.000. This suggests that for a one-unit increase in Policy Change Response, Tax Compliance is expected to increase by 1.083 units. The significance level of 0.000 indicates that this variable has a relatively significant positive effect on Tax Compliance. Furthermore, Social and Peer Influence has a coefficient of 0.226 and a T-statistics of 1.526. This suggests that for a one-unit increase in Social and Peer Influence, Tax Compliance is expected to increase by 0.226 units. However, the

probability value of 0.129 indicated that the positive is relatively insignificant effect on tax compliance.

The adjusted R-square of 0.811 indicated that the model explains approximately 81.1% of the variance in Tax Compliance. This suggests that the predictor variables in the model collectively account for a substantial portion of the variability in Tax Compliance. F-statistics of 260.435, indicated that overall significance of the model (0.000) suggests that the model is statistically significant.



Source: Researcher's Computation, 2023

The result depicts the normality test of the model. Figure 1 depict that the model is normally distributed as the stochastic line shows a straight line across the graph. This shows that the model is desirable and reliable for forecasting.

5.0 SUMMARY AND RECOMMENDATIONS

The study was conducted on the effect of tax gaps on tax inclusiveness sustainability in Nigeria. The study utilized a survey research design with a structured questionnaire been utilised as the instrument to gather responses from one hundred and eighty-two respondents. While descriptive statistics of simple percentages and table were used to show that characteristics of the respondents, multiple regression were utilized to test the hypothesis. The inferences were made at 5% significant level. The regression model used in the analysis considers three key predictor variables: Tax

System Knowledge, Policy Change Response, and Social and Peer Influence, in relation to the dependent variable, Tax Compliance. The findings suggest that Tax System Knowledge and Policy Change Response have a significant positive impact on Tax Compliance. Specifically, individuals with greater Tax System Knowledge tend to exhibit higher levels of tax compliance, as do those who respond positively to policy changes. These two factors play substantial roles in promoting tax inclusiveness and sustainability in Nigeria. On the other hand, the influence of Social and Peer Influence on tax compliance are weak and statistically insignificant. While there is a positive relationship between Social and

Peer Influence and Tax Compliance, it does not reach statistical significance tax compliance.

Based on the analysis, it can be concluded that enhancing Tax System Knowledge among taxpayers and effectively implementing policy changes are crucial strategies for promoting tax inclusiveness and sustainability in Nigeria. Fostering awareness and understanding of the tax system and ensuring that policy changes are well-communicated and positively received by taxpayers can lead to increased compliance. However, the role of Social and Peer Influence, while potentially beneficial, may not be as significant in isolation. Sequel to this conclusion, the study recommended the following:

1. The Nigerian government should invest in taxpayer education programs to improve Tax System Knowledge among the population. This can be achieved through workshops, the papers, and informative campaigns to enhance understanding of tax regulations and processes.
2. Policymakers should prioritize clear and effective communication of tax policy changes to the public. Ensuring that taxpayers understand the reasons for and implications of policy changes can help build positive responses and foster compliance.
3. Regular monitoring and evaluation of tax compliance initiatives should be conducted to assess their effectiveness. This will help policymakers refine strategies over time and adapt to changing circumstances.

REFERENCES

- Adekanmbi, A. M., Shallie, A. D., & Olaniyi, O. A. (2022). Tax revenue and sustainable development in Nigeria: A disaggregated analysis. *Global Journal of Arts, Humanities and Social Sciences*, 10(3), 43–54.
- Alao, O., Adegbe, F., & Tomomewo, A. (2023). *Tax revenue and economic growth in Nigeria: Achieving the 21st century agenda*.
- Alm, J., Jackson, B. R., & McKee, M. (2018). Fiscal exchange, collective decision institutions, and tax compliance. *Journal of Economic Behavior & Organization*, 151, 254–267.
- Appah, E. (2014). *Principles and practice of Nigerian taxation*. Andy Best Publishers.
- Asaolu, T. O., Olabisi, J., Akinbode, S. O., & Alebiosu, O. N. (2018). Tax revenue and economic growth in Nigeria. *Scholedge International Journal of Management and Development*, 5(7), 72–85.
- Bird, R. M., & Zolt, E. M. (2005). The limited role of the personal income tax in developing countries. *Journal of Asian Economics*, 16(6), 928–946.
- Braithwaite, V. (Ed.). (2017). *Taxing democracy: Understanding tax avoidance and evasion*. Routledge.
- Crawford, I., Keen, M., & Smith, S. (2010). Value added tax and excises. In *Dimensions of tax design: The Mirrlees review* (Vol. 1, pp. 275–362).
- Federal Inland Revenue Service. (2017). *Tax gap assessment in Nigeria*. <https://www.firs.gov.ng/TaxPayersEducation/FIRS%20Publications/Tax%20Gap%20Assessment%20in%20Nigeria.pdf>
- Frey, B. S., & Weck-Hanneman, H. (1984). The hidden economy as an 'unobserved' variable. *European Economic Review*, 26(1–2), 33–53.
- James, S. (2014). Compliance, tax complexity, and the development of the digital economy. *Journal of International Commerce, Economics and Policy*.
- Joseph, F. I., Omodero, C. O., & Omeonu, O. M. (2019). The role of tax revenue and foreign direct investment in promoting economic progress in Nigeria. *Annals of Spiru Haret University, Economic Series*, 19(3), 33–54.
- Kurotamunobaraomi, T., & Gbomor, M. (2020). Tax gaps and economic development in Nigeria. *International Journal of Innovative Finance and Economics Research*, 8(1), 1–9.
- Nchor, D., & Adamec, V. (2015). Unofficial economy estimation by the MIMIC model: The case of Kenya, Namibia, Ghana and Nigeria. *Acta Universitatis Agriculturae et Silviculturae Mendelianae Brunensis*, 63(6), 2043–2049.
- Ohaka, J., & Agundu, P. U. C. (2012). Tax incentives for industry synergy in Nigeria: A pragmatic proprietary system advocacy. *African Research Review*, 6(3), 42–58.

Ojeka, S. (2011). Tax policy and the growth of SMEs: Implications for the Nigerian economy. *Research Journal of Finance and Accounting*, 2(2).

Onuoha, L. N., & Akintoye, R. I. (2018). Taxation as a veritable tool for wealth creation in Nigeria. *International Journal of Advanced Academic Research, Social and Management Sciences*, 12, 16–29.

OO, A. M., & Adegbe, F. F. (2020). Effects of information technology on effective tax assessment in Nigeria. *Journal of Accounting and Taxation*, 12(4), 126–134.

Oz-Yalaman, G. (2019). Financial inclusion and tax revenue. *Central Bank Review*, 19(3), 107–113.

Raouf, E. (2022). The impact of financial inclusion on tax revenue in EMEA countries: A threshold regression approach. *Borsa Istanbul Review*, 22(6), 1158–1164.

Slemrod, J. (2004). The economics of corporate tax selfishness. *National Tax Journal*, 57(4), 877–899.